

DAY 2 TASK

PRODUCT, SERVICE, LEARNING BASED COMPANIES...

1. Product-Based Company

A **product-based company** creates its **own product** and sells that product to many customers/users.

The product could be:

- Software
- Mobile application
- Website/platform
- Operating system
- Cloud service
- Hardware
- SaaS product

Simple example

Imagine a company creates a software called:

ABC Project Management

The company develops it once as a product and then sells/subscribes it to thousands of companies.

Company

↓

Creates its own product

↓

Product

↓

Many customers use it

↓

Company earns money

Examples

Companies commonly considered product-based include:

- Microsoft
- Google
- Apple
- Amazon
- Adobe
- Salesforce
- Atlassian

For example, Microsoft creates products such as Windows, Microsoft 365, Azure, and other software/services.

What do employees do?

Suppose you're a software developer at a product company.

You might work on:

"Improve the search functionality of our product."

or:

"Add a new feature."

or:

"Fix a bug affecting our users."

You're generally working on **the company's own product**.

2. Service-Based Company

A **service-based company** mainly provides **services to other companies/customers**.

Instead of creating one product and selling it to everyone, the company may get projects from clients and provide technology services.

For example:

Client

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"We need an e-commerce website."

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Service company

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Develops website for client

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Client pays service company

The client could be a bank, automobile company, retail company, healthcare company, etc.

Examples

Some major IT services companies include:

- TCS
- Infosys
- Wipro
- HCLTech
- Accenture
- Cognizant
- Capgemini

A service company may have thousands of employees working on different projects for different clients.

3. Product vs Service — Simple Example

Imagine you own a restaurant.

Product company

You create a packaged food product:

"ABC Biscuits"

You manufacture the same product and sell it to thousands of customers.

ABC Company

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ABC Biscuits

↓

Thousands of customers

That's similar to a **product-based business**.

Service company

Someone comes to you and says:

"I want you to cook food for my wedding."

You provide a customized service for that customer.

Customer

↓

Specific requirement

↓

Service provider

↓

Customized service

That's similar to a **service-based business**.

4. What is a Learning-Based Company?

"Learning-based company" isn't as standardized a business classification as **product-based** or **service-based**.

Usually, when people in education/IT discussions say **learning-based company**, they mean a company whose primary business is **education, training, courses, skill development, or learning platforms**.

For example, a company may provide:

- Programming courses
- Data science courses
- Language learning
- Professional certifications
- Online classes
- Training programs
- Learning platforms

Examples include companies/platforms such as:

- Coursera
- Udemy
- edX
- Duolingo

The company earns money by providing **learning/education products or services**.

5. But there is an important difference

A learning company can itself be either a **product company or service company** depending on its business model.

For example:

Learning product

A company creates an online learning platform.

Company

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Creates learning platform

↓

Students use the platform

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Subscription/payment

That's essentially a **product-based model**.

Learning service

A company provides live training to a particular corporate customer.

Company A

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"Train our employees in Java."

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Training company

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Provides trainers/classes

That's a **service-based model**.

So "learning-based" describes **the domain/business**, while "product-based/service-based" describes **the business model**.

6. Very important: Product ≠ Service

People sometimes think:

Product company = good

Service company = bad

That's incorrect.

Both can be excellent places to work.

The difference is mainly **how the business operates and what you work on**.

For example:

	Product-Based	Service-Based
Main business	Own products	Client services
Customers	Usually many users/customers	Often other companies/clients
Work	Product development	Client projects
Requirements	Driven by product/user needs	Often driven by client
Projects	Usually longer-term product work	Can change based on client/project
Example work	Add feature to company's product	Build application for a client

7. What happens to a developer in each?

Imagine you're a React developer.

At a product company

Your company owns:

ABC Banking App

You might continuously work on that same product.

ABC Banking App



Feature 1

Feature 2

Feature 3

Bug fixes

Performance

Security

New versions



Millions of users

You become deeply familiar with that product.

At a service company

Your company gets a project:

Client A wants an insurance application.

You work on it.

After some time:

Client A project finishes.

Then you might move to:

Client B — Banking application.

Then:

Client C — E-commerce application.

So you may get exposure to different industries and technologies.

8. Where does salary fit into this?

This is another common misconception.

People sometimes say:

"Product companies always pay more."

That's **not always true**.

Some product companies pay extremely well, but compensation depends on:

- Company
- Role
- Your skills
- Experience
- Location
- Interview performance
- Business performance
- Level/seniority

Likewise, service companies can offer good careers and compensation.

9. What about "learning-based company" for a fresher?

If by learning-based you mean **EdTech/training companies**, there can be many different roles:

Learning Company

- |
- ├— Software Developer
- ├— Frontend Developer
- ├— Backend Developer
- ├— Data Analyst
- ├— Content Developer
- ├— Instructor
- ├— Course Designer
- ├— Sales
- └— Customer Support

So simply joining an education company doesn't mean you're necessarily going to be a teacher.

You could be a **software engineer building the learning platform.**

10. The easiest way to remember

Think of three questions.

Product company

"What product does the company own?"

Example:

Company → Owns product → Sells product

Service company

"What services does the company provide to clients?"

Client → Gives requirement → Company provides service

Learning company

"Is education/learning the main business?"

Company → Provides learning/education → Students/organizations

And remember:

Learning-based isn't really a third category alongside product-based and service-based. A learning company can itself operate as a product company, service company, or a mixture of both.

One-line summary

Product-based = builds and sells its own products.

Service-based = provides technology/services to clients.

Learning-based = primarily operates in education, training, or skill development.